REPORT TO SHAREHOLDERS

MANAGEMENT'S DISCUSSION AND ANALYSIS

The Company achieved solid results for the quarter against challenging market conditions with unprecedented increases in commodity prices for flour and dairy. The Company's results reflect efforts to improve manufacturing and distribution efficiencies and price increases implemented in 2006. The UK business continues to be a growth engine for the Company, and the recent acquisition of La Fornaia significantly enhanced the range of premium, specialty bakery products the Company can provide to its customers in the UK and Europe.

Sales for the third quarter increased 13% to $385.8 million from $342.3 million last year, primarily driven by the contribution of acquisitions in the U.K. Excluding acquisitions, sales increased by 4%.

Earnings from operations for the third quarter increased 27% to $34.1 million compared to $26.8 million last year due to increased contribution from acquisitions in the U.K. and improved operating earnings in the Frozen Bakery business. The Company continues to offset higher input costs through a combination of reducing manufacturing and overhead costs and limited price increases.

Net earnings for the quarter increased to $21.1 million ($0.83 per share) compared to a loss of $2.7 million (loss of $0.11 per share) in the prior year. The prior year loss was impacted by a non-recurring tax adjustment of $21.2 million taken to write down future tax assets related to the U.S. frozen bakery business. Excluding the non-recurring tax adjustment, net earnings increased by 14% from $18.5 million ($0.73 per share) in the prior year. Year-to-date net earnings before restructuring and other related costs and non-recurring tax adjustment[1] of $61.7 million ($2.43 per share) compared to $60.8 million ($2.39 per share) last year. Year-to-date net earnings as reported were $60.2 million ($2.37 per share) compared to $39.6 million ($1.56 per share) last year.

[1] This is not a recognized measure under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs are not representative of continuing operations.

Operating Review

The following table summarizes operating earnings by business segment before restructuring and other related costs:

Earnings from Operations before Restructuring and Other Related Costs

($ millions)	Third Quarter			Year-to-Date		
	2007	2006	Change	**2007**	2006	Change
Fresh Bakery	**24.9**	25.5	(2%)	**72.7**	73.9	(2%)
Frozen Bakery	**9.2**	1.3	589%	**25.4**	13.1	94%
	34.1	26.8	27%	**98.1**	87.0	13%

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales increased 4% to $243.5 million in the third quarter from $233.9 million last year, largely due to the benefit of price increases implemented last year. Earnings from operations in the third quarter decreased by 2% as the business experienced an unprecedented rise in raw material costs that outpaced previously implemented price increases. Growth in higher margin value-added categories, improvements in operating efficiencies across a number of plants, and forward flour purchases helped to offset these increasing input costs and some continuing volume decline in the fresh bread market. The Company will attempt to mitigate increasing input costs with additional price increases in the fourth quarter.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales in the third quarter increased 31% to $142.3 million from $108.5 million last year. A significant portion of the increase reflected the contribution from acquisitions in the United Kingdom. Organic growth was 5% in the third quarter driven by growth in the UK bagel business and price increases in North America. Earnings from operations increased to $9.2 million in the third quarter from $1.3 million last year. The North American frozen bakery business achieved a solid quarter-over-quarter improvement in the earnings against a low base for the comparative period as it increased volumes, improved operating efficiencies and addressed issues that impacted its bakery in Roanoke, Virginia last year. This plant, which is the Company's largest par-baked facility, is undertaking a major warehouse expansion that will significantly increase its storage capacity and further reduce costs.

The U.K. bakery business benefited from the contribution of acquisitions and continued organic growth, offset in part by higher flour and butter costs. The Company is currently expanding freezer capacity at its Rotherham bagel plant and installing a new high-speed croissant line at its Maidstone bakery to support continued growth in these core categories. During the quarter, the Company acquired La Fornaia, a leading producer of an extensive range of hand formed specialty bakery products, from traditional Italian ciabatta and filled focaccia to a range of organic, multi-seed breads and rolls. This acquisition extends the company's

product offering in the premium specialty bakery market and enhances its new product innovation capabilities.

Cash Flow and Financing

Cash flow from operating activities of $30.9 million for the third quarter compared to $49.3 million in the prior year period decreased primarily as a result of an increase in net working capital balances. Year-to-date cash flow from operating activities was $88.1 million, an improvement of $18.2 million over the prior year driven by increased net earnings and an improvement in net working capital balances in the current year.

Interest expense for the third quarter was $1.4 million compared to $0.8 million for the same period last year. Year-to-date interest expense was $4.1 million compared to $2.6 million last year as a result of increased debt incurred to finance acquisitions in 2006 and 2007.

Capital expenditures on plant and equipment for the third quarter were $22.1 million compared to $12.2 million last year. This significant increase in capital expenditures reflects a substantial capacity expansion in the UK croissant and ciabatta facilities and the construction of new warehouse capacity at the Company's bakeries in Roanoke, Virginia and Rotherham, UK to increase internal capacity and reduce warehousing and distribution costs.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information for the eleven interim periods ended September 29, 2007 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales	**2007**	$ 358,337	$ 375,723	**$ 385,849**		**$ 1,119,909**
	2006	301,564	335,545	342,344	$ 355,479	1,334,932
	2005	289,376	314,280	314,518	308,832	1,227,005
Net earnings	**2007**	$ 17,910	**$** 21,225	**$ 21,087**		**$ 60,222**
	2006	19,397	22,880	(2,715)	$ 13,988	53,550
	2005	11,885	21,262	23,038	18,737	74,922
Net earnings before	**2007**	$ 19,415	$ 21,225	**$ 21,087**		**$ 61,727**
restructuring and other	2006	19,397	22,880	18,503	$ 17,711	78,491
related costs	2005	15,104	21,262	23,038	18,737	78,141
Earnings per Share	**2007**	$ 0.70	$ 0.84	**$ 0.83**		**$ 2.37**
Basic	2006	$ 0.76	0.90	(0.11)	$ 0.55	2.11
	2005	0.47	0.84	0.91	0.74	2.95
Basic before restructuring	**2007**	$ 0.76	$ 0.84	**$ 0.83**		**$ 2.43**
and other related	2006	0.76	0.90	0.73	$ 0.70	3.09
costs	2005	0.59	0.84	0.91	0.74	3.07
Diluted	**2007**	$ 0.70	$ 0.84	**$ 0.83**		**$ 2.37**
	2006	0.76	0.90	(0.11)	$ 0.55	2.11
	2005	0.47	0.83	0.90	0.74	2.93

For an explanation and analysis of quarterly results, refer to Management's Discussion & Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Acquisitions

On August 17, 2007 the Company acquired La Fornaia Ltd. ("La Fornaia") a leading producer of an extensive range of quality, specialty breads from traditional Italian ciabatta to organic breads and crisp breads for total consideration of £18.8 million ($40.0 million).

Changes in Accounting Policies

Effective January 1, 2007 the Company adopted the new Canadian accounting standards for financial instruments. The adoption of these new standards requires the Company to calculate a new balance sheet account called accumulated other comprehensive income. This account includes (i) the unrealized foreign currency translation adjustment, and (ii) unrealized gains (losses) on cash flow hedges net of tax. On transition, the Company recorded $0.2 million in accumulated unrealized losses related to cash flow hedges as at January 1, 2007. During the nine months ending September 2007, the Company recorded other comprehensive losses of $18.5 million, primarily related to changes in accumulated foreign currency translation. As at the end of the third quarter, the accumulated other comprehensive loss balance was $23.9 million.

Derivatives

In the ordinary course of business, Canada Bread enters into derivative financial instruments to reduce underlying fair value and cash flow risks associated with foreign currency, interest rates and commodity prices. If the Company had not entered into these contracts, operating earnings for the quarter would have been lower by $2.3 million (2006: higher by $0.2 million) and lower by $3.3 million on a year-to-date basis (2006: lower by $0.4 million). Without these contracts, interest expense for the third quarter of 2007 would have been higher by $1.1 million (2006: higher by $1.0 million) and higher by $3.0 million on a year-to-date basis (2006: higher by $2.5 million).

New Accounting Pronouncements

In May 2007, the Accounting Standards Board issued Handbook Section 3031 "Inventories". The standard introduces changes to the measurement and disclosure of inventory and converges with international accounting standards. The standard is effective for interim and annual periods relating to fiscal years beginning on or after January 1, 2008. The Company has not yet determined the impact the adoption of this standard will have on its financial statements.

Forward-Looking Statements

This document may contain forward-looking information within the meaning of applicable securities legislation. Forward looking information is based upon a number of assumptions and is subject to a number of risks and uncertainties, many of which are beyond the Company's control, that could cause actual results to differ materially from those that are disclosed in or implied by such forward looking information. Any forward-looking information in this press release speaks as of the date of this press release. Canada Bread does not undertake to update any such forward-looking information whether as a result of new information, future events or otherwise. Additional information about these assumptions and risks and uncertainties is contained in the filings with securities regulators including the annual information form and Management's Discussion and Analysis accompanying the financial statements in the reports to shareholders. These filings are available on the Company's website at www.canadabread.ca.

Other Matters

On October 24, 2007, the Company declared a dividend of $0.06 per share payable on January 2, 2008 to shareholders of record on December 14, 2007. Unless indicated otherwise in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2007 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Canada Bread, which is 88.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2006 sales of $1.3 billion and employs approximately 9,000 people at its operations across North America and in the United Kingdom.